AUDIT & ASSURANCE

Suggested Answers
November-December 2023

Answer to the Question# 1(a) (i):

Informing the client

- Report to appropriate level of management;
- If believed that management or employees with significant roles in internal controls are involved or fraud results in material misstatements report to those charged with governance;
- If integrity/honesty of management or those charged with the governance is in doubt, seek legal advice.

Answer to the Question# 1(a) (ii):

Audit report

- If error is corrected, there is no need to qualify;
- If correction is not made, then report should be appropriately qualified;
- If outcome of fraud is uncertain, then a significant uncertainty should be included;
- If outcome can be determined and amount is not adjusted in the financial statement, the report should carry qualification with except for/disagreement.

Answer to the Question# 1(b) (i):

Trade payables

Trade payables are liabilities to pay for goods or services that have been received or supplied and have been invoiced or formally agreed with the supplier.

Accruals

Accruals are liabilities to pay for goods or services that have been received or supplied but have not been paid, invoiced or formally agreed with the supplier, including amount due to employees.

Provision

Provisions can be distinguished from trade payables and accruals because there is uncertainty about the timing or amount of the future expenditure required in settlement.

Answer to the Question# 1(b) (ii):

Legal obligation

A legal obligation is an obligation that derives from:

(a) a ***contract*** (through its explicit or implicit terms);
(b) ***legislation;*** or
(c) other operation of law.

Constructive obligation

A constructive obligation is an obligation that derives from an entity's actions where:

(a) by an established pattern of ***past practice***, published ***policies*** or a sufficiently specific current statement, the entity has indicated to other parties that it will accept certain responsibilities; and
(b) as a result, the entity has created a ***valid expectation*** on the part of those other parties that it will discharge those responsibilities.

Answer to the Question# 1(c):

Taxation services

Many audit firms prepare tax computations for their client companies and this should not normally compromise independence.

Where taxation services are provided to the company, a conflict of interest could arise in dealing with the tax affairs of the directors (e.g., if any of the directors are also shareholders, they may have preferences as to dividends or bonuses, which are not in the best interests of the company's tax or cash flow position).

There may also be independence issues in relation to tax advisory work. For example, the firm may have difficulty in giving an independent view on the acceptability of a scheme to the Revenue or Customs and Excise if the firm designed the scheme itself in the first place. As a safeguard, a tax manager (or partner) independent of the audit function should be assigned to deal with individual director's tax affairs.

Accountancy services
For many audit clients it is common to provide a range of accountancy services including participation in the preparation of accounting records. For listed or other public interest clients, an audit firm should not participate in the preparation of the company's accounts and accounting records except in emergency situations.

Preparing periodic management accounts may draw the auditor, inadvertently, into performing management functions.

Safeguards for non-listed companies include the following:
•The client accepting responsibility for the records as its own;
The client accepts responsibility for assumptions;
•The auditor not assuming an operational role;
•Conducting appropriate audit tests on records processed/maintained by the auditor.

Management consultancy
An auditor's independence may be compromised if a course of action is recommended to an audit client. For example, if the auditor advises on a new computer system which is then found to be unreliable, the auditor may be reluctant to report the weaknesses to management.

As a safeguard auditors should lay the facts before the directors and let them make the decision. It is important that the auditor is not seen to be acting as part of the management function.

The additional guidance on best practice has also now provided that services involving the design and implementation of financial information technology systems (FITS) should not be provided unless:
•Management accepts overall responsibility in writing and implementation;
•Management does not rely on the FITS work as the primary basis for determining the adequacy of internal controls and financial reporting systems, and
•The design specifications are set by management;

In any case separate engagement teams are likely to be necessary to mitigate the potential threat to independence.

Answer to the Question# 1(d):

Ethical and professional issues and actions to be taken by the audit firm.

i) Loan to member of the audit team

According to the International Ethics Standards Board for Accountants (IESBA) Code of Ethics for Professional Accountants (the Code), a loan to a member of the audit team may create a significant threat to the auditor's independence. If the loan is not made under normal lending procedures, and terms and conditions, a self- interest threat would be created as a result of Adeeba Sultana's financial interest in the audit client. The self- interest threat arises because of the potential personal benefit derived which may motivate the audit team member to behave in a manner aimed at protecting that benefit.

Such a threat would be so significant that no safeguards could reduce the threat to an acceptable level. It follows therefore that the audit team member should not accept such a loan or guarantee. The Code, however, also states that a loan from an audit client which is a bank or similar institution to a member of the audit team which is made under normal lending procedures, is acceptable. Examples of such loans include home mortgages, car loans and credit card balances.

It is possible therefore that the secured loan may be ethically acceptable and the key issue is whether 'the very best terms which the bank can offer' fall within ABC Credit Ltd.'s normal lending procedures, and terms and conditions. The bank's standard lending terms and conditions should be obtained and reviewed alongside the documentation for Adeeba Sultana's loan. Ultimately, the audit engagement partner is responsible for ensuring that ethical principles are not breached, so the partner should be involved with the discussions. The matter should be discussed with Adeeba and the client's business manager in order to establish whether the loan is to be made under the bank's normal lending procedures. Adeeba Sultana should be advised of the outcome of the review and ABC Credit Ltd.'s business manager should be advised of this decision, explaining the rationale and ethical rules behind it.

ii) Temporary staff assignment

The Code states that the lending of staff to an audit client may create a self-review threat to auditor independence. The self- review threat arises when auditor reviews work which they themselves have previously performed – for example, if the external auditor is involved in the process of preparing the payroll figures for inclusion in the financial statements and then audits them. As a result, there is a risk that the auditor would not be sufficiently objective in performing the audit and may fail to identify any shortcomings in their own work. In addition, there is a risk of the staff member assuming management responsibilities if they are involved in making judgments and decisions which are within the remit of management.

Such assistance can only therefore be given for a short period of time and the audit firm's staff must not assume management responsibilities. According to the Code, an audit firm cannot provide accounting and bookkeeping services (including payroll) to an audit client which is a listed or a public interest entity unless the services relate to matters which are collectively immaterial to the financial statements.

In this case ABC Credit Ltd. is a listed bank and is therefore a public interest entity. The assignment of a qualified member of staff as a supervisor on the client's main payroll system is likely to be material to the financial statements of a service industry client such as a bank and, in addition, may also involve management responsibilities. The audit manager should therefore discuss details of the proposed role of the seconded member of staff with the payroll manager and other key client contacts in order to establish the significance of the role and its materiality to the financial statements. Assuming that the role is material, the audit manager should decline the proposed staff assignment.

Answer to the Question# 2(a) (i):

Matters/procedures prior to acceptance of audit

(i) Check adequacy of resources to enable:
- Work to be completed to a high standard on a timely basis/use of competent staff
- Provision of tax/accountancy services without compromising independence (ie safeguards can be put in place) eg:
  - Use of separate personnel to perform accountancy and tax
  - Review by an independent partner/senior staff member with appropriate expertise if tax computation prepared by audit team
  - Review of the audit by an audit partner who is not involved in the audit engagement
- Assess competency of Mrs CDE and Mrs B;

(ii) Establish/document existence of informed management – to ensure auditor does not take management role;

(iii) Consider relationships/familiarity threat – to ensure independence/objectivity not impaired;

(iv) Consider potential conflicts of interest (eg competing clients) – to ensure act in the best interest of clients;

(v) Consider integrity of client – to reduce risk of misstatements due to fraud/misrepresentation;

(vi) Client identification procedures – to reduce exposure to money laundering/comply with money laundering requirements;

(vii) Send letter of engagement – to ensure client understands nature and scope of the work to be undertaken to narrow expectations gap

Answer to the Question# 2(a) (ii):

Factors	Why taken into account
• New client	• Lack of familiarity – may not identify events and transactions which have an impact on the financial statements/higher detection risk;
• Start-up	• Going concern risk • Doubts/material uncertainty will require disclosure in the financial statements • Lack of going concern status will require financial statements to be prepared on a break-up basis;
• Lack of prior year figures	• Lack of comfort/corroboration from use of analytical review procedures • Require more extensive use of tests of details (substantive tests);
• Bank covenant	• Risk that profits or other key items may be overstated or understated in order to preserve the debt equity ratio;
• Trading with ITS Ltd	• Need to ensure complete disclosure of related party transactions;
• Customized accounting software	• May not be reliable, resulting in errors;
• Lack of segregation of duties	• Misstatements may not be prevented or detected and corrected on a timely basis/higher control risk • Determine the audit approach which is likely to be substantive based;
• Competency of the personnel	• Mrs CDE and Mrs B may not have adequate experience in appropriately keeping the accounting records;

Answer to the Question# 2(b):

Matters to consider before accepting the review engagement

Before accepting the review engagement to review and provide an assurance report on Kazal Brothers Ltd's cash flow forecast, ISAE 3400 *The Examination of Prospective Financial Information* identifies a number of matters which need to be considered:

1. The intended use of the information

Mahin & Company must consider, for example, whether the cash flow forecast and assurance report will be used solely for the purpose of the increase in Kazal Brothers Ltd's overdraft facility. If Kazal Brothers Ltd is planning to use the assurance report for purposes other than an extension to its current overdraft, for example, to arrange new loan finance from the company's bank, this must be made clear to Mahin & Company.

2. Distribution of the information

Mahin & Company needs to consider who will receive the report and potentially rely upon it as this will impact on the firm's assessment of the risk associated with the engagement. If the cash flow forecast is intended for general distribution, this will increase the level of risk for Mahin & Company as a larger audience will rely on it. In this case, if the information will be used solely in support of the application to the bank and will not be made available to other parties, this should be confirmed before accepting the engagement and will reduce the risk of the assignment.

3. **The period covered by the forecast and the key assumptions used** Mahin & Company must also consider the period covered by the cash flow forecast and the key assumptions which have been used in its preparation. Short-term forecasts are likely to be easier to verify and provide assurance on than longer term projections. ISAE 3400 states that a prospective financial information (PFI) engagement should not be accepted when the assumptions used in its preparation are clearly unrealistic or when the practitioner believes that the PFI will be inappropriate for its intended use. In the case of Kazal Brothers Ltd, although the forecast is only for 12 months, the growth rates assumed in relation to its operating cash receipts may, for example, be judged to be unrealistic given recent trends in its business and the requested overdraft facility of BDT 17 million for the next six months may prove to be insufficient.

4. The scope of the work and resources and skills

Mahin & Company will need to consider the specific terms of the engagement, the level of assurance being sought by Kazal Brothers Ltd. and the form of the report required by the bank. Mahin & Company will need to identify clearly the elements which it is being asked to report on – for example, is it being asked to report on the cash flow forecast only or is the firm also being asked to report on accompanying narrative or other PFI. Due to the uncertainty of forecasts and the inevitable subjectivity involved in their preparation, Mahin & Company will need to confirm that it is only being asked to provide negative assurance as to whether management's assumptions provide a reasonable basis for the cash flow forecast and to give an opinion as to whether it is properly prepared on the basis of these assumptions.

Mahin & Company needs to consider whether it has sufficient staff available with the appropriate skills and experience needed to perform the PFI engagement for Kazal Brothers Ltd. Mahin & Company should also consider whether it can meet the deadline for completing the work and whether it will have access to all relevant information and client staff. Given the company's predicted need for cash in the next six months, presumably the extended overdraft facility will need to be provided very soon and this may lead to Mahin & Company being under pressure to meet a tight reporting deadline.

5. Other matters: Clients integrity and ethical considerations

a. Client integrity

ISQM 1 Quality Control for Firms that Perform Audits and Reviews of Financial Information, and Other Assurance and Related Services Engagements requires Mahin & Company to consider the integrity of Kazal Brothers Ltd.'s management in relation to the acceptance decision. In particular, the firm should consider management's reasons for appointing a different firm from its auditors and the potential for management bias in the preparation of a cash flow forecast in support of its required overdraft facility.

In addition to the matters identified by ISAE 3400 and ISQM 1, Mahin & Company should also consider the following ethical matters before accepting the review engagement:

b. **Ethical considerations**

Given that Mahin & Company are not the auditors, the firm's independence from Kazal Brothers Ltd will not have been previously considered. In this regard, it is important to ensure that there are no threats to the firm's objectivity which might prevent it from accepting the appointment. If the firm is not independent and its objectivity is compromised, the reliability of the assurance report will be undermined.

Mahin & Company should also consider why the auditors have not been asked to provide the assurance report on Kazal Brothers Ltd's cash flow forecast. In order to provide an assurance report on PFI, a good understanding of the client and its business is required and the incumbent audit firm will usually have the requisite knowledge and understanding. Mahin & Company should therefore consider whether the use of a different firm creates a risk that the client may be hoping that the firm may not be in a position to effectively challenge the key assumptions underlying the preparation of the forecast. When a professional accountant is asked to perform work for a non-audit client, they should be given permission by the client to contact its auditors in order to obtain relevant information. If this permission is not given, the appointment should be declined.

Overall, Mahin & Company must assess the risks associated with the review engagement and should not accept an engagement when the assumptions are clearly unrealistic or when the firm believes that the prospective financial information will be inappropriate for its intended use.

Answer to the Question# 3(a):

The minimum procedures required to attain reasonable confidence that fraudulent management override of controls has not taken place should include:

- Testing of journal entries to ensure they are appropriate. Particular attention might be necessary to the year-end entries;
- Review of accounting estimates to judge whether management bias is evident;
- Scrutinizing significant and unusual transactions;
- Review of audit logs maintained in the critical computer systems, particularly to the GL system. Habit of unusual use of such sensitive IDs might give rise to potential risk of modifying recorded numbers;
- Review of recent changes in the management structure as well as in the SoPs that unusually empower senior officials to some additional work.

Answer to the Question# 3(b):

If the group engagement team plans to request a component auditor to perform work on the financial information of a component, the group engagement team shall obtain an understanding of the following:

(i) Whether the component auditor understands and will comply with the ethical requirements that are relevant to the group audit and, in particular, is independent;
(ii) The component auditor's professional competence;
(iii) Whether the group engagement team will be able to be involved in the work of the component auditor to the extent necessary to obtain sufficient appropriate audit evidence;
(iv) Whether the component auditor operates in a regulatory environment that actively oversees auditors.

Answer to the Question# 3(c) (i):

A description of a business model typically includes:

- The scope of the entity's activities, meaning what are the activities the entity does as its core activities;
- The entity's structure and scale of its operations;
- The markets or geographical or demographic spheres, and parts of the value chain, in which it operates, how it engages with those markets or spheres (main products, customer segments and distribution methods), and the basis on which it competes;
- The entity's business or operating processes (e.g., investment, financing and operating processes) employed in performing its activities, focusing on those parts of the business processes that are important in creating, preserving or capturing value;
- The resources (e.g., financial, human, intellectual, environmental and technological) and other inputs and relationships (e.g., customers, competitors, suppliers and employees) that are necessary or important to its success;
- How the entity's business model integrates the use of IT in its interactions with customers, suppliers, lenders and other stakeholders through IT interfaces and other technologies;

Answer to the Question# 3(c) (ii):

Inherent risk factors relating to the preparation of information required by the applicable financial reporting framework (referred to in this paragraph as "required information") include:

- Complexity—arises either from the nature of the information or in the way that the required information is prepared, including when such preparation processes are more inherently difficult to apply.
- Subjectivity—arises from inherent limitations in the ability to prepare required information in an objective manner, due to limitations in the availability of knowledge or information, such that management may need to make an election or subjective judgment about the appropriate approach to take and about the resulting information to include in the financial statements.

- Change—results from events or conditions that, over time, affect the entity's business or the economic, accounting, regulatory, industry or other aspects of the environment in which it operates, when the effects of those events or conditions are reflected in the required information.
- Uncertainty—arises when the required information cannot be prepared based only on sufficiently precise and comprehensive data that is verifiable through direct observation.
- Susceptibility to misstatement due to management bias or other fraud risk factors insofar as they affect inherent risk— susceptibility to management bias results from conditions that create susceptibility to intentional or unintentional failure by management to maintain neutrality in preparing the information.

Answer to the Question# 4(a):

Evaluation of quality control issues, implications for audit completion and further actions

i) Controls testing on payables

The absence of evidence of authorisation by the procurement manager in relation to the three purchase orders represents an exception to the effective operation of an internal control on which the auditor intends to place reliance. The review of the supporting documentation and the conclusion that the items were legitimate business expenditure do not resolve the exception in the effective operation of the control. There is a risk that other exceptions and further unauthorised purchases may have occurred which may not have been for legitimate business purposes. The audit procedures therefore appear to have been inadequate. The audit assistant should have reported the matter to the manager and partner for them to decide if further work or risk analysis was required and who it should be reported to, i.e. those charged with governance, etc. This should have also been picked up during the review of the working papers.

Prior to finalising the audit, the audit team needs to assess the extent and significance of the internal control deficiency and should consider increasing the original sample size and extending the audit testing. If the extended testing identifies further exceptions in the effective operation of the control, the auditor should review whether a controls-based approach is appropriate and consider whether more substantive testing on the payables component is required. The auditor should also consider including the matter in the report to management.

In line with ISA 260 *Communication with Those Charged with Governance*, the auditor is required to communicate significant findings from the audit to those charged with governance. These include significant difficulties encountered during the audit and any extensive unexpected effort required to obtain sufficient appropriate audit evidence. The absence of authorisation by the procurement manager in relation to the three purchase orders requires extended audit testing and represents a potentially significant deficiency in the operation of internal controls. It therefore represents a potentially significant audit finding which should be communicated to those charged with governance.

ii) Petty cash fraud

The personal taxi fares represent a fraudulent transaction by the petty cashier and should be reviewed in the light of the auditor's and management's respective responsibilities in relation to the prevention and detection of fraud. ***ISA 240: The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements*** states that the primary responsibility for the prevention and detection of fraud rests with both those charged with governance of the entity and management. The existence of the fraud may also be further indication of a weak control environment. The auditor is responsible for obtaining reasonable assurance that the financial statements taken as a whole are free from material misstatement, whether caused by fraud or error. The amount of BDT 175 is clearly immaterial to the financial statements and therefore does not represent a potential source of material error caused by fraud. The auditor should review the petty cash records for evidence of any further irregularities and discuss the matters identified with management. However, if the auditor concludes that the matter increases the overall assessment of fraud and control risk, management should be informed.

In spite of the immateriality of the amounts involved, however, the relationship of the audit assistant to the petty cashier represents a familiarity threat. The failure of the audit assistant to highlight the matter prior to the discussion with the engagement quality control reviewer may indicate a lack of professional integrity on the

part of the audit assistant. In line with ***ISA 220: Quality Control for an Audit of Financial Statements***, the auditor, primarily the audit engagement partner, has responsibility to monitor ethical requirements throughout the audit process. The firm's procedures for assigning staff to audit teams and for reporting personal relationships with client staff should be reviewed in light of this responsibility.

If the auditor concludes that the petty cash fraud and any additional issues identified on review of the petty cash records increases the overall assessment of fraud and control risk, the matter should be reported to management with a recommendation that all petty cash transactions should be adequately reviewed and authorized.

iii) Cut-off testing on revenue

IFRS 15: Revenue from Contracts with Customers requires that an entity recognises revenue when or as the entity satisfies a performance obligation by transferring a promised good or service (i.e. an asset) to a customer. An asset is transferred when or as the customer obtains control of that asset. On this basis therefore, revenue has been recognised too early and as a result revenues, receivables and profits are overstated.

The error identified is in isolation immaterial to the financial statements at 0.2% of revenue (17,880/8.7 million). The error should be extrapolated based on the incidence of errors identified and the level of sales to this particular customer in order to assess the potential for a material misstatement. Based on this assessment, the auditor should extend cut-off testing in order to assess further the potential for a material error. The auditor should also confirm with management that the invoicing procedure is isolated to this particular customer and consider extending their assessment and testing to any other customers as necessary. The auditor should also review last year's cut-off procedures in order to investigate whether there were any compensating errors in the prior year**.**

All misstatements identified should be communicated to management and the auditor should request that they are corrected. ISA 260 requires the auditor to communicate to those charged with governance his or her views about significant qualitative aspects of the entity's accounting practices including accounting policies. The non-compliance with the recognition criteria of IFRS 15 represents a significant finding from the audit and should be communicated to those charged with governance according to ISA 260.

iv) Tax advice

The auditor has responsibility to monitor ethical requirements throughout the audit process. The provision of assistance in calculating the company's income tax payable for the year represents a self-review threat as the tax calculation forms the basis of the tax payable in the statement of financial position and the tax charge in the statement of profit or loss for the year. This risk is increased by the listed status of Nabil Ltd and according to the IESBA *Code of Ethics for Professional Accountants* (the *Code*), the auditor should not prepare tax calculations for listed clients unless the calculations are in arithmetic nature. Nabil Ltd is a listed client and therefore, as auditors, the firm should not undertake any tax services as the threats to the auditor's objectivity and independence which would be created are too high to allow the audit firm to undertake an engagement to prepare calculations of current or deferred tax liabilities (or assets) for the purpose of preparing accounting entries which are material to the relevant financial statements, together with associated disclosure notes.

According to ISA 260, the significant audit findings which the auditor is required to communicate to those charged with governance include matters which, in the auditor's professional judgement, are significant to the oversight of the financial reporting process. The auditor should therefore report the lack of skill and up to date knowledge of the finance director and the implications of this for the recruitment and training procedures at the client. The auditor should also report the independence issues identified above in relation to the finance director's request for the auditor to calculate the tax payable.

Answer to the Question# 4(b) (i):

The highest level of assurance auditors can provide is reasonable. The inherent limitations of an audit mean that it is not possible to provide 'absolute' assurance. These inherent limitations include:

- Financial information includes subjective and judgmental matters;

- Inherent limitations of controls being used as audit evidence;
- Representations from management may have to be relied upon as the only source of evidence in some areas;
- Evidence is often persuasive not conclusive; and
- Auditors test on a sample basis.

Answer to the Question# 4(b) (ii):

Some users incorrectly believe that an audit does provide absolute assurance; that the audit opinion is a guarantee the financial statements are 'correct'. This and other misconceptions about the role an auditor plays are often referred to as the 'Expectations Gap.' Other examples of these misconceptions include:

- a belief that auditors test 100% of transactions and balances: they test on a sample basis;
- a belief that auditors are required to detect fraud; auditors are required to offer an opinion that the financial statements are free from material misstatement, which may be caused by fraud;
- auditors are responsible for preparing the financial statements; this is the responsibility of management.

Answer to the Question# 4(c):

Value for money

Value for money audit is a financial management tool originated in public sector organization as a way of assessing financial performance in absence of profit-based measure. This was because the objectives of public sector organizations were not usually to make profit. The concept has been adopted by commercial entities as a means of assessing performance on a broader basis than just profit.

The term means getting good value from the money that an entity spends. Value for money is obtained from a combination of three factors commonly referred to as "3Es':

(a) Economy
(b) Efficiency
(c) Effectiveness

Economy - means not spending more than is necessary to obtain the required resources. Simply put, buying the cheapest materials of the desired quality but avoiding excessive cost.

Efficiency – means getting a high volume of output from the resources that are used. The efficiency of employees is often referred to as productivity. Efficiency can be achieved by making better use of equipment and machines (eliminating idle time), improving employee productivity, making better use of available accommodation or getting better use of out of marketing spending etc.

Effectiveness – means achieving the objective of the entity with the resources that it uses. Using resources efficiently is of no use it does not achieve the objective of the enterprise.

Best value audit

Best value audit is about ensuring that there is good governance and effective management of resources, with a focus on improvement, to deliver the best possible outcomes for the public. For most government organizations, it is crucial to prioritize the welfare of the general public ahead of everything else. Best value provides a framework for that.

Best value audits work similarly to value for money audits. Value for money audits looks at three aspects. These include efficiency, effectiveness, and economy. Best value audit looks at how government bodies use the best possible combination to provide the best possible outcomes. For example, it may include the most advantageous combination of quality, sustainability, whole-life cost, etc.

The fundamental concept of best value is continuous improvement. Organization can attempt to achieve continuous improvement by focusing on the 4Cs' as set out below:

- Challenge – Challenge the need for providing a service and where it is found that there is no need withdraw it.
- Compare – compare the cost being provided with others and investigate how to improve
- Consult- discuss the service with users and make sure their needs are met
- Compete – use fair competition as a means of improving performance.

Answer to the Question# 4(d) (i):

Planning issues for Shades would be as follows:

Completeness of income
Overall this risk is high due to the following factors: the majority of the income is generated in cash, there are numerous different sources of income, and a wide range of people have access to the asset itself due to the use of volunteers.
Looking at each source of income in turn the following points are relevant:

NGO shop
Whilst till receipts can be agreed to cash received this does not guarantee that all sales have been put through the till. The main problem here is that it may be difficult to establish an expected relationship between 'sales' and 'cost of sales'. Items sold are donated by the public and much will depend on how these items are valued by the NGO.

Collections
Reconciliations can be performed between cash collected and the receipts submitted by the volunteers to determine accurate recording. Completeness of income, however, will depend largely on the integrity of the volunteers and the overall controls put in place by the NGO. In this instance risk is increased by the unpredictable nature of this source of income and the fact that the collection boxes are not sealed. Those responsible for collecting the cash are also responsible for opening the boxes and counting the cash before handing it over to the bookkeeper. This increases the risk of misappropriation.

Show on Pet animal tickets and T-shirts sales
Completeness of income in respect of these sources of revenue is still a concern due to the cash nature of these transactions but more reliable evidence should be available. Revenue generated from ticket sales can be reconciled to the number of tickets sold. This assumes that the NGO exercises some control over the issue of tickets for example, tickets are numbered so that it is possible to determine the number sold.

For the T-shirt sales it should be possible to validate the income by comparing the number of items sold with the revenue generated. This depends on the NGO adopting very simple stock control.

Sponsorship
Completeness should not be an issue here as the amount involved is predetermined and is likely to be paid by cheque or by bank transfer.

Controls
In addition to the specific control issue mentioned above the assessment of the overall control environment will be essential at the planning stage of the audit. As there are concerns about the completeness of income the control environment will provide key evidence about the integrity of the revenue balance.

The auditor will need to consider the ability of the committee to run the organisation effectively. The information suggests that the three main committee members are responsible for the majority of the management so it will be important to determine their respective skills and whether they are able to devote sufficient time.

The ability of the bookkeeper will also need to be established in particular the possible lack of segregation of duties and the fact that the job is currently only done on a part time basis. It may be that records are not being maintained as they should be due to the limited number of hours being worked by that individual. This is emphasised by the fact that the Treasurer is sometimes required to help out.

Accounting Treatment
At the planning stage the accounting policies of the NGO will need to be reviewed to ensure that they are appropriate and consistent. In particular the point at which income is recognised will need to be established together with any related costs. This is relevant to the income generated from the sale of tickets for the annual dog show. Tickets are available in the last two weeks in May, that is, the last two weeks before the year end

and the main cost involved in the show, being the printing of the show programme is also incurred and invoiced in May. The show itself takes place in June.

In respect of the ticket sales made in May it could be argued that this income should not be recognised until the show takes place as it is only earned at this point. However, if the proceeds are non-returnable irrespective of whether the show takes place or not it could be argued that it represents a donation which can be recognised on receipt.

In respect of the programme costs the treatment is a little clearer. These should be provided for at the end of the year even though they relate to an activity which will take place after the year end. Per FRS 12 there is an obligation to pay for the programmes as a result of a past event that is, the printing company have produced and delivered the programmes.

Evidence
At the planning stage the overall strategy to adopt will need to be determined. In this case it is likely that a controls-based approach will be adopted (as completeness of income is one of the key risks) supported by substantive testing, the extent of which will depend on the results of the tests of controls. The use of analytical review will be more limited due to the lack of predictive patterns in relation to many aspects of the organisation and the lack of relationships between account balances.

Answer to the Question# 4(d) (ii):

The audit plan would include the following:
Rent, rates, light and heat
(i) Agree total rent/rates for the year to the lease contract/annual bill;
(ii) Check direct debit amounts in the cash book/bank statement;
(iii) Compare the cost of heat and light for this year and the previous year and follow up if there are any major differences;
(iv) Review at the date on the last utility bill to determine the need for any prepayment or accrual adjustment.

Employee remuneration
(i) For salaried staff check annual salary to personnel details/contract of employment;
(ii) For the bookkeeper and the kennel maid review the controls over the recording of hours worked and check the hourly rates applied to personnel details/contracts of employment;
(iii) Check a sample of standing data used to process the payroll;
(iv) Recalculate a sample of monthly calculations to ensure that deductions are being made correctly;
(v) Review controls over the weekly authorisation of pay checks and monthly bank transfers.

Medicine bill
(i) Confirm with the vet that he has given his time for free;
(ii) Compare the total vet bill for this year and last year and calculate a 'cost per animal rescued' if possible;
(iii) Trace a sample of entries made in the cash book in respect of vet fees back to the original invoice to confirm that the cost is in respect of this;
(iv) Review invoices received after the year end to ensure that any necessary accruals have been recognized.

Printing costs
(i) Obtain the printers' invoice and check that a provision has been included in the accounts at the year-end for an amount matching that on the invoice.
(ii) Confirm that the required quantity Pen Animal programmes have been received.

Answer to the Question# 5(a):

A limitation on scope has arisen because the auditors were unable to perform procedures which would quantify the true figure. The amount involved in the case appears to be material but is not pervasive by nature. As a result, the audit report should be qualified with terminology 'except for'.

In accordance with the Companies Act, the auditor needs to report on certain matters by exception only. In this case the auditor will need to report that, in respect of the limitation on his work relating to opening inventories alone:

- He has not obtained all the information and explanations that he considered necessary for the purpose of his audit
- He was unable to determine whether proper accounting records had been maintained.

Answer to the Question# 5(b) (i):

GentCo. should obtain following documents to express opinion on the consolidated financial statements:

- Independence confirmation from the component auditors;
- Justification for determination of compoenent auditors materiality;
- Audit adjustments suggested by the component auditors;
- Audit report and audited financial statements of the components;
- Management letter issued by the component auditors;
- Financial statements of all the entities being consolidated;
- Details of consolidation adjustments;
- Management representation for consolidated financial statements.

Answer to the Question# 5(b) (ii):

If any of the component auditors expresses qualified opinion in the auditor's report, group auditor should consider the effect of qualification in the current year financial statements. If the qualification of the component is material to the group, principal auditor shall issue a qualified report. However, if the component is not material to the group, principal auditor shall consider whether the qualification has material effect on consolidation. If there is insignificant impact, principal auditor shall not issue any qualified audit opinion. However, an emphasis of matter should be given in the audit report about the opinion expressed by the component auditors.

Answer to the Question# 5(c):

Assurance provider's report on profit forecast:
This is a negative form of opinion which bears limited assurance.
How it differs from audit of historical financial statements

- Audit provides relatively high-level assurance however that is absolute one rather regarded as reasonable assurance
- Opinion expressed in positive terms:
  Gives true or view opinion or a suitable modified opinion, as the case may be in accordance with ISA and Companies Act

Why it differs

- Financial statements are based on fact as well as judgements;
- Persuasive (but not conclusive) evidence available since events have already taken place
- As opposed to audit of historical financial statements, scope of work on forecast is limited as forecast are based on assumptions about the future and are as such subject to uncertainty.

Answer to the Question# 5(d):

i) **Indicators of going concern uncertainty**

- A major customer of TFL International Ltd has ceased trading owing them BDT 0·6m. This will result in a significant loss of future revenues and profit, and unless this customer can be replaced then there will be a reduction of future cash flows.
- The sales director has recently left the company and is yet to be replaced. Loss of a key director will impact on the company's sales, as TFL International Ltd has already lost a major customer, then without an experienced sales director to generate new sales the company will face significantly reduced sales and cash flows.
- TFL International Ltd is experiencing negative monthly cash flows and this is expected to continue. If

the company continues to have cash outflows, then it will increase its overdraft further and will start to run out of available cash.

- The company has been late in paying some of its suppliers. If suppliers are being paid late then they may refuse to supply TFL International Ltd with goods or impose 'cash on delivery' terms which will disrupt service or sales to customers.
- A number of the suppliers are threatening legal action. If this occurs then TFL International Ltd will have legal costs on top of the amounts owed already and this will further increase the pressure on cash flows. In addition, other suppliers may hear about the legal action and, as a result, stop supplying goods to TFL International Ltd.
- TFL International Ltd has missed a loan repayment which is a breach in the loan covenant and hence the loan of BDT 4.8 million is now all repayable. The company only has six months to raise BDT 4.8 million; as it currently stands they do not have this level of cash available and unless they are able to raise alternative finance or sell non-current assets, it is difficult to see how TFL International Ltd. will be able to raise this amount.
- In order to conserve cash TFL International Ltd has decided not to pay a final dividend for 2022. This may result in shareholders losing faith in the company and they may attempt to sell their shares; in addition, they are highly unlikely to invest further equity, and TFL International Ltd urgently needs to raise finance to repay their loans.
- The current ratio has significantly declined from 4.55 (1.6 + 2.2 + 1.2/0.9 + 0.2) in 2021 to 0.64 (3.4 + 1.4/1.9 + 0.8 + 4.8) in 2022. The current ratio shows that the current assets are not sufficient to pay the current liabilities. This is another indication of the worsening liquidity position of the company, which has mainly occurred due to the loan becoming repayable.

ii) **Analytical procedures stages**

Analytical procedures can be used at all stages of an audit; however, ISA 315 *Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and Its Environment* and ISA 520 *Analytical Procedures* identify three particular stages.

- During the planning stage analytical procedures must be used as risk assessment procedures in order to help the auditor to obtain an understanding of the entity and assess the risk of material misstatement.
- During the final audit analytical procedures can be used to obtain sufficient appropriate audit evidence. Substantive procedures can either be tests of detail or substantive analytical procedures.
- At the final review stage the auditor must design and perform analytical procedures that assist him when forming an overall conclusion as to whether the financial statements are consistent with the auditor's understanding of the entity.

Answer to the Question# 5(e):

1) When a company makes a provision for future or anticipated payment for a fine/compensation or restoration of damage to the environment.
2) When a company provides for a contingent liability in respect of a pending legal action.
3) When the asset values may be impacted example purchased goodwill/products due to impairment.
4) Capital or revenue expenditure (on social spending, clean-up or to meet a standard)
5) Development costs may be increased due to ensuring meeting environmental or good corporate citizen (self-imposed or announced standard).
6) Going concern issues due to penalties, fines and judgment costs.

Answer to the Question# 6(a):

Audit opinion is one of the parts of Auditors' report. The audit report, in addition to opinion section, contains other sections such as auditors and management responsibility, key audit matters (where applicable), other information and report on other regulatory matters (where applicable).

Answer to the Question# 6(b):

CFO meant that the auditor has modified the Auditors' report by incorporating therein "Emphasis of Matter" paragraph where he has mentioned some issues to draw attention of the shareholders. However, those issues did not modify the Audit opinion.

---The End---